

Subject Code	AF5336
Subject Title	Business Risk Management
Credit Value	3
Level	5
Normal Duration	1-semester
Pre-requisite / Co-requisite/ Exclusion	None
Objectives	This subject builds on materials in Economics, Quantitative Methods, Managerial Economics and Business Law. It contributes to the achievement of MCG Programme Outcomes by enabling students to evaluate how a business can identify and measure its loss exposures and select appropriate tools for the management of that exposure. In this subject, students would be given opportunities to interpret the ethical implications of relevant corporate governance issues, and also to evaluate the financial risk management functions of a firm, such as management of the risks when planning and implementing the related company policies. This aims to prepare the students to establish the body of knowledge necessary for independent risk management analysis and decision-making.
Intended Learning Outcomes	On successfully completing this subject, students will be able to: (a) Demonstrate an understanding of the global and regional regulatory framework for risk management and the relationships between risk management and corporate governance, compliance and ethics. (b) Critically evaluate approaches to risk management and advise the board on the use of risk frameworks as a basis for appraising, evaluating and supporting risk management. (c) Critically evaluate the management of risk and provide professionally appropriate advice to those responsible for governance. (d) Critically examine the impact of the business environment on risk with regard to legislation, policy and industry changes. (e) Critically evaluate the impact of organisational conduct, behaviours and culture on risk management practices. (f) Apply a variety of tools to identify, measure and control a firm's risk exposure related to its operation, financing and investment in a global market environment.

Subject Synopsis/ Indicative Syllabus	Risk Frameworks The global risk environment. Regulatory frameworks. Sector regulation. Risk management frameworks and standards. Key risk management concepts. Risk management as a foundation of organizational success. Risk management processes, perspectives and responsibilities. Frameworks for governance, risk and compliance. Managing Risk and Compliance Evaluating and reporting risk. Risk culture, appetite and tolerance. Compliance management. Risk and the Business Environment Risk control strategies. Risk management in practice. Trends and future developments for risk management. More trends and future developments for risk management.							
Teaching/Learning Methodology	Lectures will be used to provide theoretical concepts and approaches of the subject. Seminars will be used for case studies, presentation and discussion. Students are required to discuss real-world cases in seminars. They are expected to apply subject knowledge to the discussion of the current corporate risk management issues faced by a corporate administrator in their working environment. Ethical issue will also be discussed since the manager’s unethical behaviour will increase the risk for the company. Students are expected to actively participate in the seminars and to share their experience and learn from each other.							
Assessment Methods in Alignment with Intended Learning Outcomes	Assessment components include written assignments, discussion, participation and presentation of issues related to risk management and subject final examination set with risk management problems. These assessment components require students to demonstrate their ability to identify and evaluate various issues in financial risk management including but not limited to ethical issues, which is important particularly because manager’s unethical behaviour will increase the risk for the company. Students are expected to apply subject knowledge to the discussion of the current corporate risk management issues faced by a corporate administrator in their working environment. Their application of such knowledge will be assessed in their presentation and class discussion.							
	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d	e	f

	Individual Essay	20%	√	√	√	√	√	√
	Project Presentation	20%	√	√	√	√	√	√
	Participation	10%	√	√	√	√	√	√
	Final Examination	50%	√	√	√	√	√	√
	Total	100%						
Note: To pass this subject, students are required to obtain Grade D or above in BOTH the Continuous Assessment and Examination components. In addition, the specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers. To reflect the significant technology content in this subject, 10% of the overall weighting of this subject is based on individual assessment concerning technology-related knowledge.								
Student Study Effort Expected	Class contact:							
	▪ 13 weeks of 3 hours seminar each		39 Hrs.					
	Other student study effort:							
	▪ Depends on their backgrounds, on average students are expected to spend around 2 more hours for each contact hour for reading subject materials and preparing/doing coursework assignments.		78 Hrs.					
	Total student study effort		117 Hrs.					
Reading List and References	Required Text <i>The HKCGI Chartered Governance Qualifying Programme study text. (Latest version)</i>							
	Other References Hull, John, <i>Risk Management and Financial Institutions</i>, 6th edition, Wiley, 2023.							
	Chance & Brooks, <i>An Introduction to Derivatives & Risk Management</i>, 10th edition, Cengage Learning, 2016.							
	Crouhy, M, D. Galai and R. Mark, <i>The Essentials of Risk Management</i>, 3rd edition, McGraw Hill, 2023.							
	Lam, James, <i>Enterprise Risk Management: From Incentives to Controls</i>. 2nd edition. Wiley, 2014.							

	Jorion, Philippe, <i>Value At Risk: The New Benchmark for Managing Financial Risk</i>, 3rd edition, McGraw Hill, 2007. Marthinsen, John, <i>Risk Takers: Uses and Abuses of Financial Derivatives</i>, 3rd edition, Pearson, 2018. Additional readings will be distributed in class or put into Blackboard.
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